MGT 602 CURRENT SUBJECTIVE

MIDTERM 2023

BY MAHAR & DILSHAD

What do you know about social innovation (3 marks)

World Economic Forum defines social innovation as “the application of innovative, practical, sustainable, market-based approaches to benefit society in general, and low-income or underserved 5 populations in particular”

Write down any 3 crucial ingredients of entrepreneurship. (3 Marks)

- Innovation.
- Risk taking.
- Vision.

What is Co-entrepreneurship? Write down any two examples. Is age, education is necessary for this or not? (5 Marks)

Co means “two” people working together. Similarly, in co-entrepreneurship, two people work together on an entrepreneurial project. There is no restriction of age, gender, cost etc. in co□entrepreneurship. Sometimes, idea of business is developed together and everything is also shared in the business. They work in a team to establish a venture. Co-founder is also a term used for such entrepreneurs who create a business together. Serial entrepreneurs are those people who have a lot of experience of creating new ventures. They are very skilled people. They often establish a venture for selling it and then create another venture to sell that as well. Co-entrepreneurs are often those who have good skills of establishing a business or they can be good advisers of establishing a business. Third method to become a co-entrepreneur is to be an investor in an entrepreneurial venture. For an entrepreneurial venture, one has to manage a team and it is not easy to work in a team. Same applies to co-entrepreneurship. First challenge of co-entrepreneurship is “personality conflict”. Second is “risk taking behavior”. Third is “personal life and commitments”. “Team conflicts” may also be there. “Financial matters” may also be a cause of concern. “Profit sharing” and “partnership dissolution” may be the other issues. If partnership deed was not there then more issues can arise while business dissolution if it was not registered business. Scale up issues may also arise if business gets flourished. These may differ in different types of the co□entrepreneurship. One partner may be highly committed versus other. Hence, in a good entrepreneurial venture, these issues should be managed properly.

What are economic factors in entrepreneurship. Elaborate with examples. (5 Marks).

Entrepreneurs must consider all the economic factors before starting new venture. What was the basic drive or intention to be entrepreneur must be kept in mind. There can be some worrisome issues for new venture. Potential entrepreneurs must foresee these issues. One must have a proper business plan for smooth running of business.

What is Porter's five forces model? Explain briefly.

According to Porter, five forces that impact the industry are: the condition of competition, the power of suppliers, the likelihood of new entrants, threat of substitute products and power of customers. M. Porter in his book “The competitive advantage of nations” declared that “Entrepreneurship is at the heart of national advantage”. Entrepreneurship has a huge economic impact because it acts as an innovation hub, creates jobs, adds to national income, and creates social change through social innovation. Entrepreneurship also partners the economic development by addressing environmental challenges, social value creation, commencement of regional economic integrations i.e. SAARC, CPEC and social value creation i.e. donations for education and research and development. Collectively entrepreneurs are the partners in economic development of regions and countries

How Entrepreneurship develops a sense of achievement in the mind of an entrepreneur?

Feeling of achievement that you have done something for betterment of people is itself a drive towards new ideas. E-commerce and World Wide Web 2 becomes a source somehow. This is age of internet and social media. Many businesses these days run only on social media.

What's Social Entrepreneurship? Briefly explain its two advantages.

With the emergence of social innovation, social entrepreneurship has been becoming popular. Social entrepreneurs are defined as “individuals who recognize a social problem and use their entrepreneurial skills to create a program, business or process to find a solution.” Another definition states that “a social entrepreneur is a person who pursues novel applications that have the potential to solve community-based problems. These individuals are willing to take on the risk and effort to create positive changes in society through their initiatives.” For example, the development of a mobile application which serves the needs of deaf and dumb through which they would be able to communicate with people is social entrepreneurship

Write at least five issues in the family business?

Several major issues arise when there are succession delays. Sometimes senior family members have fear of death. They are reluctant to transfer business to next generation. Sometimes senior family members are hesitant to share responsibilities and power. Sometimes members feel threat to personal identity so they are reluctant to transfer authority. Parents do not want to be bias. So they are reluctant to transfer authority to single person which creates delays in succession. If one of the children is more engaged in business activities, others feel neglected which can be a basis for succession delays. Fear of retirement along with jealousy and rivalry also creates unwanted delays in transfer of ownership. Boundaries among family, ownership, management systems may become blurred. Because successful or running business is transferred to next generation, they are many times unable to keep it going successfully.

What is the role of degree/ formal qualifications in entrepreneurship?

You don’t need to earn degree if you want to be an entrepreneur. This myth is challenged in a way that a degree or a diploma is not the pre-requisite to establish a new venture, although formal training or degree may fulfill the upgraded needs of doing business.

Do you agree with the statement that entrepreneurial training enhances the ability and talent of entrepreneurs give three reasons?

- Entrepreneurship Forces You to Continue Learning.
- Learn Business Skills for Every Aspect of Your Venture.
- Apply Your Knowledge to Various Roles.

What documents should be checked when buying a business?

Any lawyer or agency or firm can act as that third party to close the sale process and they must check all the documents including, Bill of sale, tax certifications and Payment-to-seller agreements and guarantees.

Types of cost and write difference between initial franchise fee and royalty payment. 3

First type of cost is “initial franchise fee”. This type of fee is usually non-refundable and taken at the start by the franchiser for commercial use of his name by the franchisee. For example, a school may sell the name as a franchise and can collect the initial franchise fee. Third type of cost is “royalty payment”. It is the type of cost that franchisee has to give to the franchiser based upon the earning of business. This payment usually ranges from 5 % or 25 % depending on the mutually decided agreement.

Explain entrepreneur act on noturing? 3 marks

Entrepreneurship is the act of creating a business or businesses while bearing all the risks with the hope of making a profit.

Explain at least three qualities of good opportunity good opportunity?

A good opportunity should have four qualities which are: attractiveness (personal choice, preference, attractive with respect to market, financially viable), durability (not be short term, pop up opportunity, sustainable), timeliness (right time, develop product within time before others), and value proposition (product or service adds value for the buyer or end user, value for entrepreneur, overall environment, value anchored in product/service/business)